Section 1: Case Prompt

GreenLoop Packaging is a mid-sized manufacturer of compostable food containers based in Pune, India. Over the last three years its revenue has grown by 18% annually, but gross margin has fallen from 34% to 27% because the price of its main input, sugarcane bagasse, has risen while large restaurant-chain customers have demanded lower prices. The CEO is deciding between three options: (a) build a second plant closer to the sugarcane belt, (b) sign a long-term supply contract with a single bagasse supplier, or (c) develop a premium product line for health-conscious retail consumers. Instructions: Your submission must (1) identify the core problem, (2) evaluate each option against cost, risk and speed, (3) recommend one option with a clear implementation plan, and (4) list the assumptions on which your recommendation depends. Do not exceed 1,000 words. Cite any outside data you use.

Section 2: Analysis

GreenLoop is stuck competing on price with customers who hold all the cards. The way out is to sell to someone who cares more about the product than the price. Option (c), the premium retail line, does that. Health-conscious shoppers already pay 30 to 40 percent more for 'clean' packaged food, and a compostable container with a visible bagasse texture fits the story. I would test it in three Mumbai and Bengaluru supermarket chains first, using 5,000 units, before spending on new tooling. The risks are slow adoption and the cost of retail marketing, which restaurants never required. Options (a) and (b) are defensive moves that fix cost without changing the dynamic with big customers. Recommendation: pursue (c) with a pilot budget of about 25 lakh rupees, and review at six months with a go/no-go on sales per store per week. Assumption: retail consumers care about compostability enough to pay a premium, which our survey of 200 shoppers hints at but does not prove.